Acme Retail Ltd: Annual Report 2025-26

Fictional company. All figures are invented for demonstration.

1. Chairman's Message

Dear shareholders, financial year 2025-26 was a year of disciplined growth for Acme Retail Ltd. Net revenue rose 18 percent to INR 4,820 crore, while contribution margin improved from 6.1 percent to 8.4 percent. We achieved this by focusing on fewer, better promotions and by lowering the cost of fulfilment per order.

Our board approved a plan to open three new fulfilment centres in Pune, Lucknow and Hyderabad over the next two years. Total planned capital expenditure for this programme is INR 310 crore, to be funded from internal accruals. We do not plan to raise new equity.

I thank our 6,200 employees, our seller partners and our customers for their trust.

2. Financial Highlights

The table below summarises key financial metrics for the last two years. Gross margin improved because of a better product mix and lower return rates. Marketing spend as a share of revenue fell as repeat customers contributed a larger share of orders.

Metric	FY2024-25	FY2025-26
Net revenue (INR crore)	4,085	4,820
Gross margin	27.5%	29.2%
Contribution margin	6.1%	8.4%
EBITDA (INR crore)	148	262
Profit after tax (INR crore)	61	137
Orders (million)	58.2	66.9
Average order value (INR)	702	720

3. Operating Review

Orders grew 15 percent to 66.9 million. Average order value rose to INR 720 as customers bought larger baskets in home and kitchen categories. Conversion rate improved from 2.2 percent to 2.6 percent after the checkout redesign launched in the second quarter.

Customer acquisition cost (CAC) fell from INR 520 to INR 430, below the internal target of INR 450. Repeat customers now account for 54 percent of orders. The return rate declined from 9.8 percent to 8.1 percent because of better size guidance and quality checks.

On-time delivery reached 94 percent against a target of 92 percent. Average fulfilment cost per order fell by INR 11 after route optimisation in the western region.

4. Risk Management

The board reviews risks every quarter. The principal risks are: (a) dependence on a small number of logistics partners, which we are reducing by adding a second carrier in every region; (b) fluctuations in the rupee, which affect the cost of imported electronics; and (c) cyber security, where we completed an external audit in November and closed all high-severity findings.

Credit risk is limited because most sales are prepaid. Receivables from marketplace partners were INR 94 crore at year end, with no balance overdue by more than 60 days. Liquidity is comfortable: cash and equivalents stood at INR 410 crore, and the company has no long-term borrowings.

Inventory risk is managed through weekly review of ageing stock. Stock older than 180 days was 3.4 percent of inventory, below the 5 percent policy limit.

5. Outlook and Forecast Process

For FY2026-27 management expects net revenue growth of 14 to 16 percent and contribution margin of at least 9 percent. Growth will come from the three new fulfilment centres, wider assortment in beauty and personal care, and the launch of a loyalty programme in the second half.

Finance maintains a 12-month rolling forecast that is refreshed every month on the fifth working day after the close. Forecast accuracy for total revenue was within 2.4 percent of actuals for the full year, inside the 3 percent target.

Key assumptions: average order value growth of 3 percent, CAC held below INR 450, and a return rate not higher than 8.5 percent. A downside scenario with revenue growth of 8 percent would still deliver a contribution margin of 7 percent.

6. Corporate Governance and Dividend

The board has seven directors, of whom four are independent. The audit committee met six times during the year. The statutory auditors issued an unqualified opinion on the financial statements.

The board recommends a dividend of INR 2.50 per share for FY2025-26, subject to approval at the annual general meeting. The total payout is about INR 41 crore, or 30 percent of profit after tax.

The company spent INR 3.2 crore on corporate social responsibility, mainly on digital skills training for 12,000 young people in tier-2 cities.